



RFP 101:

Creating the Perfect RFP

for Retail Technology Deployment



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RFP for Retail Technology Deployment.

Giving a tangible number to the value of technology deployment in retail is a challenge. Its influence is everywhere, from the very start of the supply chain journey to post-purchase customer interaction. Retailers today recognize technology deployment has value, but just how much of an impact does it have?

There are so many solutions available that one simple, holistic answer is almost impossible. But if you look a little closer, the tangible benefits are obvious.

GS1 found that RFID, for example, when deployed for inventory accuracy, delivers sales improvement in the range of 1.5% to 5.5% when comparing the before vs after view of retail integration.

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In fact, one respondent went on record to say that for every 3% improvement in stock accuracy, they experienced a 1% uplift in sales.

Meanwhile, Accenture finds that organizations utilizing modernized, AI-led processes are achieving 2.5x higher revenue growth and 2.4x greater productivity compared to those who are not.

These examples are two technologies in isolation, but when considering the impact that tech can have on an individual level at every touchpoint, the results can compound and create a significant competitive advantage for brands.

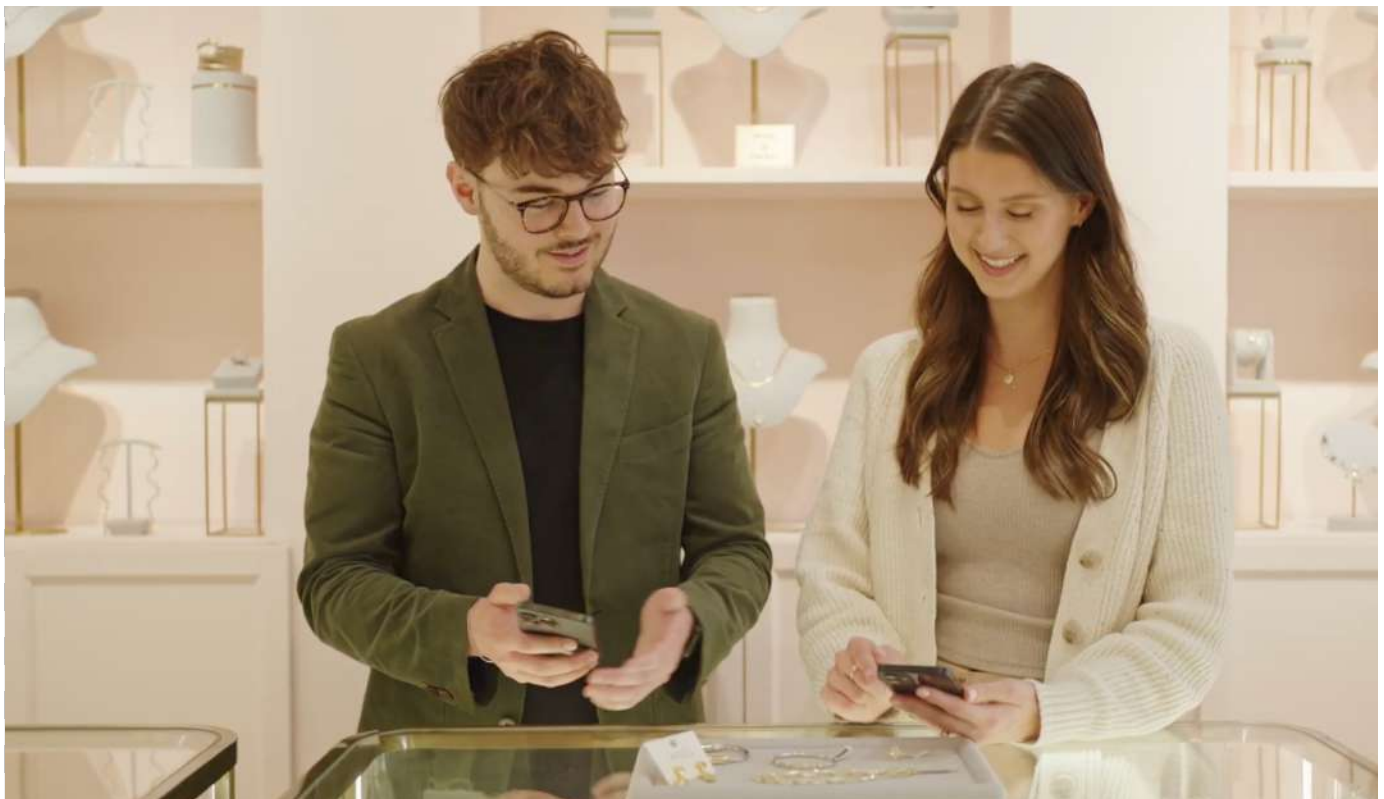
Technology is a necessity in today's retail environment.



Starting the Technology Journey

With the right solution capable of transforming operational productivity, retailers need to find a technology partner that best fits their business needs, one that can help their company grow, meet its objectives and create long-term success.

In order to achieve that, the request for proposal (RFP) and pitching process must allow retailers to accurately compare technology vendors. They need to be able to make a strategic, informed decision based on their challenges and goals. Suddenly, the RFP process becomes critical. It is the foundation of any technology journey; the first stage of finding the game-changing solution that the retailer is hunting for.



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An effective RFP can:

01 EFFICIENT EVALUATION & COMPARISON

A robust RFP attracts thorough responses, which allow retailers to accurately compare proposals.

02 BRING CLARITY

Technology providers clearly understand a retailer's needs and objectives.

03 ENCOURAGE QUALITY

Clearly outlined requirements and timelines allow vendors to tailor their responses to specific needs.

04 MINIMIZE RISK

Enquiring about experience, pricing, timelines, security, and scalability helps retailers identify red flags early.

05 STRATEGIC RELATIONSHIPS

A thoughtful RFP signals that a retailer isn't simply looking for a technology vendor. It is searching for a long-term partner.



How to select the perfect RFP for your industry.

A strong, thorough RFP is priceless for a retailer. However, the perfect RFP isn't necessarily an easy task to complete. To help retailers begin their journey, we've created a checklist of eight crucial factors to keep in mind while curating an RFP for technology providers.



1. Define the Problem and Outline Objectives

One of the most necessities for a successful RFP lies in a retailer's ability to articulate the core challenge that has prompted the RFP.

A brand should clearly explain how it envisages the technology solution supporting its business goals.

For example, if an apparel retailer is seeking to replace its legacy software, it might highlight the current challenges faced by its existing infrastructure:

- Slow
- Complex and difficult to use
- No access to wider operational data

It might then outline what it seeks from its new solution:

- Cloud-based and mobile
- Easy to use

- Clear visibility of wider operational data: inventory management, order management, Customer Relationship Management

The retailer could then outline how this will help it reach its short and long-term goals:

- Ability to serve customer quickly anywhere in-store
- Minimal training required
- Long-term: Increase sales opportunities and conversions through new and retained customers



The RFP should directly ask vendors to address the existing challenges and demonstrate how they will support these goals.

2. Create a Detailed Project Scope

The perfect RFP accurately outlines the key functionalities and use cases that the solution must support. All retailers may have a range of requirements that need to be met. And they can't afford to leave vendors guessing.

Make sure to include:

- **Technical requirements:** The need to integrate with an existing ERP platform, or a specific eCommerce platform
- **User types and volume:** Who will be using the technology? How many team members will need access to it? Where are these people located?
- **Regulatory or compliance requirements:** Will the deployment need to be mindful of data privacy or health and safety?





Capabilities

Similarly, retailers should leave no stone unturned when it comes to outlining the desired capabilities that their technology deployment will need to meet. If a brand needs an omnichannel solution, it should note the specific aspects that need to be covered. For example:

- **Buy Online, Pick Up In-Store (BOPIS)**
- **Endless Aisle**
- **In-Store Returns**
- **Same-Day Delivery**
- **Unified Gift Cards**

Consider the point of sale, for example. Today, there are seemingly hundreds of solutions available on the market that retailers could look to deploy. But only a few that are right for their business. The RFP should outline the retailer's granular requirements. Whether they want traditional point of sale, Mobile point of sale, self-checkout, or a combination of all three – retailers should be clear in their needs and the desired experiences they aim to deliver to customers.

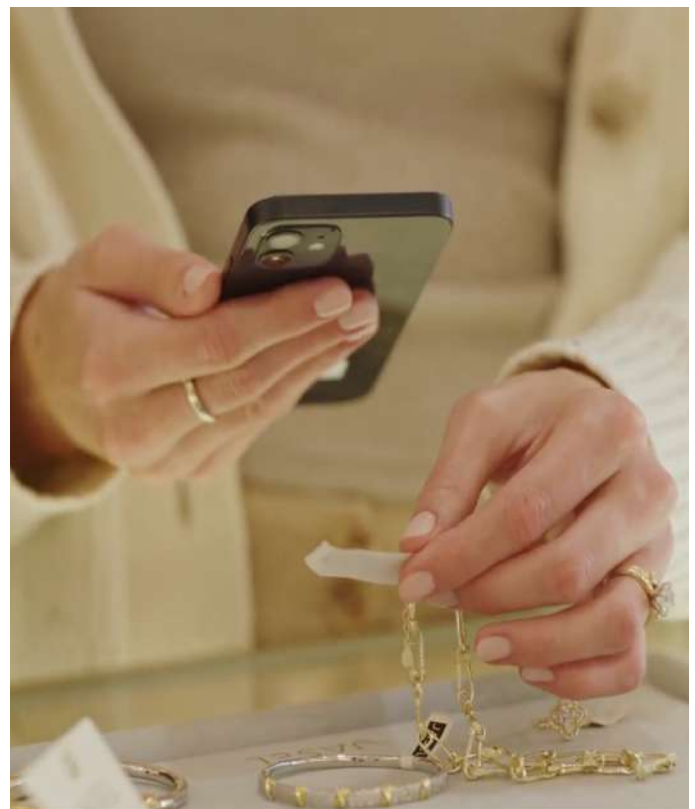
Customization and Enhancement

Ahead of issuing any RFP, retailers should do their own research when selecting vendors to speak with. However, this should especially be the case when it comes to considering customization and enhancement for technology deployment.

Before engaging with technology providers, retailers must consider what level of customization they might need on the specific solution they are looking for, and whether their chosen vendors can customize their solutions to meet bespoke needs, and the process required for requesting product enhancements.

On the topic of customization and enhancement, it is also important for retailers to ask for vendors to set clear boundaries in their offering.

Aside from customization, retailers need to know what comes as standard with their technology purchase, and what requirements will be needed regarding additional licensing, modules and development.



Implementation & Resources

Another consideration that retailers should keep in mind when preparing their RFP is in the implementation process. Retailers should ask vendors for details of the implementation process itself.

- What level of client resources will be needed?
 - What onboarding support is provided?
 - Will the technology vendor be servicing the account? Will a third party? Or will the technology be self-service?
- What is the process behind testing and piloting?
 - What is the expected timeline for implementation, piloting and full rollout?

The more detail provided, the easier the decision-making process will be – and the more opportunity vendors must demonstrate what separates them from their competitors.



3. Provide Background on Your Business

Providing background company information creates a contextual understanding between businesses. Vendors value this information, and use it to deliver more relevant, tailored, and strategic proposals.

Share details such as company size, brand values, customer base, store formats, existing technology deployments and a strategic roadmap.

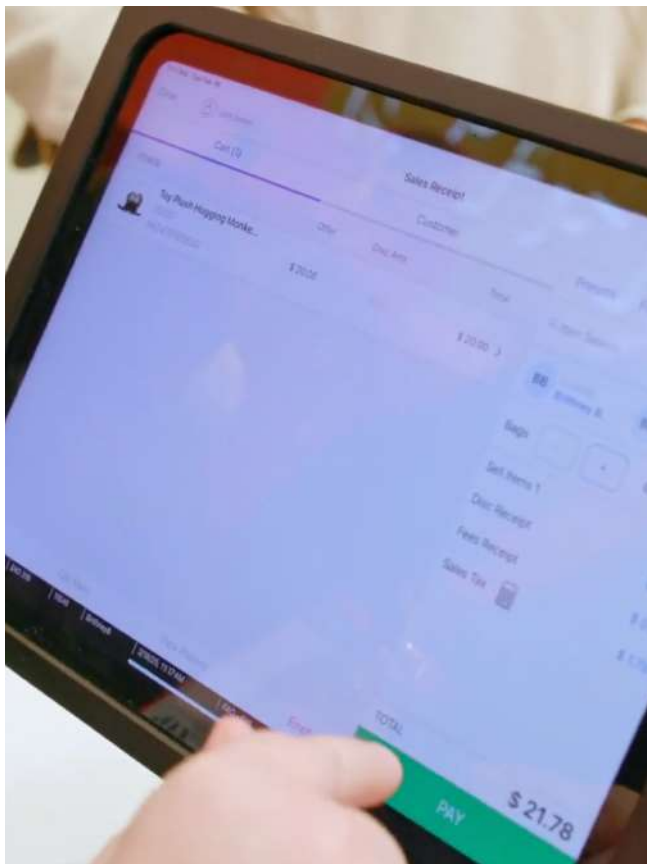
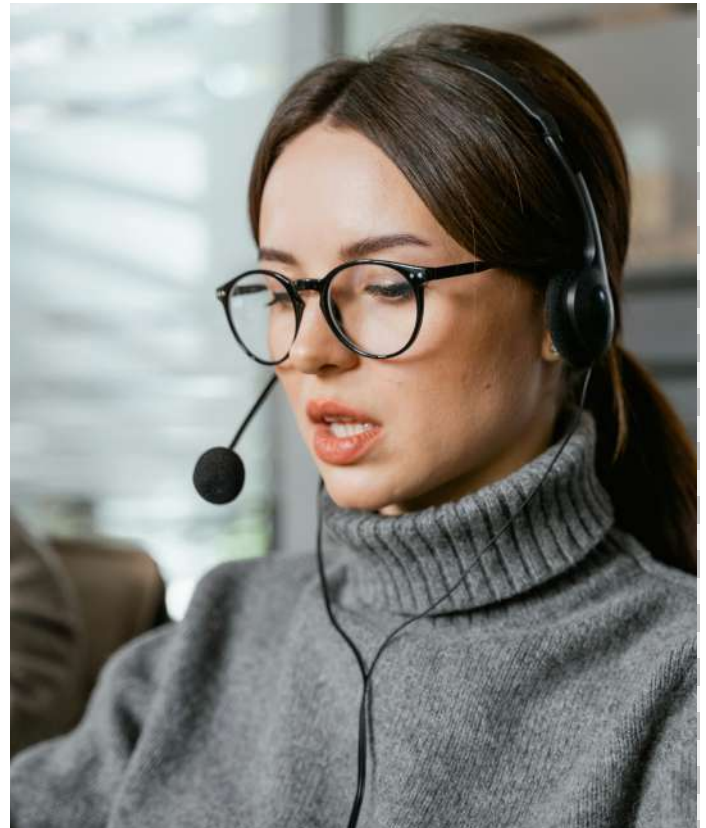
Armed with context behind the RFP, vendors can:

- Tailor solutions more specifically to the retailer's business
- Better understand the brand's business goals
- Align themselves with the customer and create smoother collaboration through shared understanding



4. Set a Clear Timeline

Timelines are important to establish expectations between retailers and vendors. Some deployments might be relatively simple, with streamlined same-day implementation. Others might take months of piloting before a full rollout. These details need to be outlined right away. And there are more milestones to consider well before the implementation itself:



- RFP release and response deadlines
- Vendor Q&A periods
 - Demo dates
- Final decision and full implementation timeline

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This operates under the assumption that the solution being deployed doesn't need any adjustment and can simply be plugged in and operational. The product development and wider roadmap must also come into consideration for retailers.

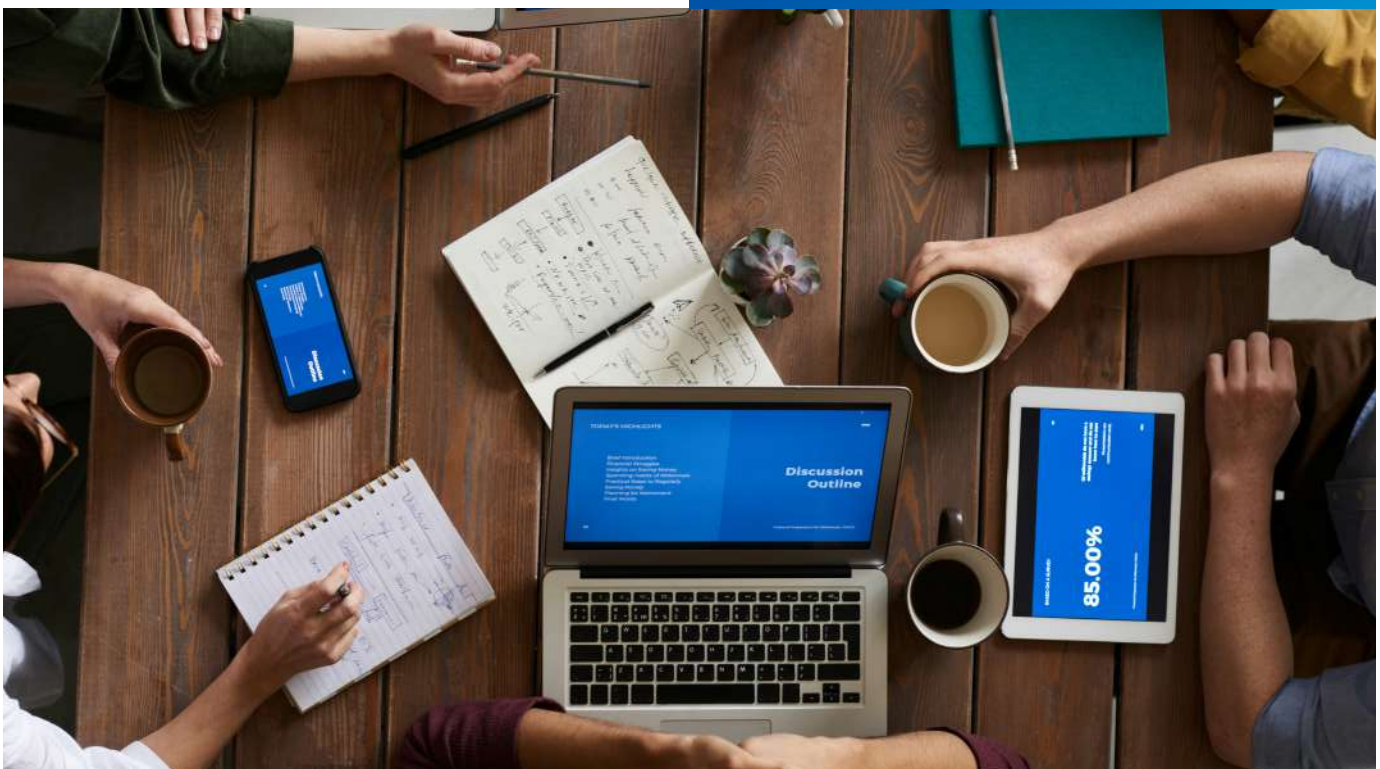
- How long will new feature development take? Is there a transparent product roadmap?
- Is the product being deployed a recent innovation that might be prone to error or require more frequent updates?

- How frequently are new features released?
- How might this impact the retailer's operations and overall objective?

Don't forget about a vendor's support capabilities.

Do they provide 24/7 maintenance? What kind of response times and service level agreements (SLAs) will be included in the contract?

If this is expected to be a long-term, successful partnership, the level of support provided by the technology partner will be an integral factor in the solution's success.



5. Include Evaluation Criteria

Evaluation criteria are useful to include because it shows potential technology partners what matters most to the retailer. If retailers can tell vendors exactly how they will assess their proposal, vendors can be best positioned to demonstrate their credentials in the most effective manner.



Common criteria might include:

- Technical capabilities and scalability
- Retail-specific experience
- Integration with existing tools
- Implementation timeline
- Total cost of ownership (TCO)
- Customer support and training

6. Ask the Right Questions

While it is important for retailers to tell their own story in their RFP, they must also ask the right questions to potential partners to understand their own business and experiences better.

Retailers need to investigate vendor backgrounds, track records and experiences. How long have they been operational? Are they privately or publicly owned?

Every question elicits a response that helps the retailer better understand the company they might soon be working with.

The best RFPs also ask for evidence in the form of case studies or references.

Don't forget about potential global needs.

- Does the vendor have localization capabilities in terms of languages, currencies and taxing?
- What experiences do they have with global brands?





7. Encourage Innovation, but Set Boundaries

Partnerships are not transactional. The right technology vendor should operate as an extension of the retailer's team, and as part of that, the retailers should be able to leverage the vendor's technical expertise... within reason.

A retailer might know it has a problem. It might have an idea of how to solve that problem, but it might not necessarily know the best solution to it. With that in mind, a retailer would be well place to leave a little room within their RFP for vendors to suggest better ways to solve their problems.

However, the retailers should clarify the non-negotiables – around existing technologies that must stay in place, or logistical or compliance limitations.

8. Structure

The structure of an RFP is critical. It needs to be detailed, clear, and easy to follow.

Every strong RFP should include:

- Executive Summary
- Company Background
- Project Goals
- Scope of Work
- Technical Requirements
- Proposal Guidelines
- Evaluation Criteria
- Budget Expectations
- Submission Instructions



Final Tips

- Use plain language: Technology is complex enough as it is, instructions, explanations and questions should be straightforward, with no room for misinterpretation
- Budget transparency: Be as clear and honest as possible when it comes to outlining budgets. This can seriously impact the proposals retailers receive, and vendors don't want to undershoot what they could potentially deliver
- Consider involving cross-functional stakeholders early: As long as it doesn't overcomplicate the proposal process, introducing the opinion of IT, store ops, finance and marketing teams can help retailers source the best solution for their entire business
- Allow for follow-up questions and vendor presentations: The RFP process is a two-way process; collaboration is critical to finding the best fit for both vendor and retailer





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